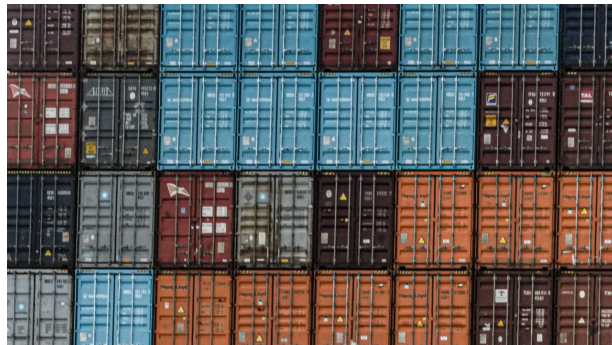


World in Brief: Trump's new global tariffs; oil prices surge



Photograph: Houston Chronicle via Getty Imag

The **Trump administration** will impose **new tariffs** of between 10% and 12.5% on 60 economies, accusing them of importing goods made with forced labour. They will be applied using Section 301 of the Trade Act of 1974 and begin on Friday, when a separate 10% levy expires. Donald Trump has [repeatedly adjusted his tariffs](#) since the Supreme Court struck down their main legal foundation in February.

Brent crude, the international oil benchmark, rose above \$100 a barrel for the first time since May. Mr Trump told Axios, a news site, that he was mulling a “massive attack” on **Iran**. Meanwhile [the Houthis](#), Iranian-backed militants, struck two Saudi Arabian oil tankers in the Red Sea; Mr Trump said he would hold Iran responsible for further attacks.

American stocks fell as investors fretted over [tech firms' AI spending](#). The s&p 500 and the tech-heavy NASDAQ declined by around 1.2% and 2.2%, respectively. Shares in Alphabet, Google's parent company, sank after it revised up AI spending guidance to as much as \$205bn this year. So did Tesla's, which reported its first negative free cash flow in over two years.

After American markets closed, **Intel** reported unexpectedly strong second-quarter revenues of \$16.1bn, up 25% year on year, potentially offering jittery investors some relief. The [American chipmaker](#) was boosted by demand for data centres: sales leapt by 59%, to \$6.3bn. Intel said it expected revenues between \$15.8bn and \$16.8bn in the third quarter.

Mr Trump said **America's** civilian **nuclear** deal with **Saudi Arabia** is “totally subject” to Saudi Arabia recognising the state of Israel by joining the Abraham accords. Mr Trump also said [the agreement](#), which Congress must still review, does not include “enrichment of material”. Saudi Arabia has [refused to normalise ties with Israel](#) without a serious path to creating a Palestinian state.

America's **Justice Department** withdrew subpoenas against journalists at the *New York Times* after a federal judge expressed scepticism over whether the government's lawyers followed proper procedures. The reporters had been asked to provide phone records and testify before a grand jury after publishing a story about Mr Trump's new Qatari-donated Air Force One plane. The newspaper accused the Trump administration of intimidation.

Speaking to *The Economist* in his first extended [interview](#) since SpaceX's blockbuster IPO, **Elon Musk** made [three bold predictions](#): AI will surpass human intelligence within five years; robots in the workplace will render money meaningless within ten; and Britain will descend into civil war within 20. The world's richest man insisted that AI will control almost everything eventually.

Figure of the day: 24,000 yuan (\$3,500), the value of daily subsidies offered to some Chinese fishing boats that loiter in disputed areas near Taiwan. [Read more](#) about China's shadowy maritime militia, which is worryingly active.

Anthropic and OpenAI under threat

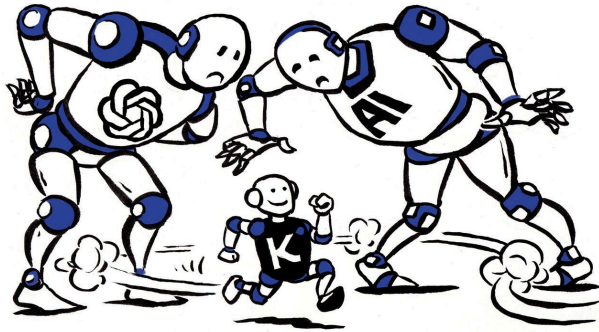


Illustration: David Simons

Chinese AI labs are nipping at the heels of American ones. Last Thursday Moonshot AI, a Chinese startup, released Kimi $\kappa 3$ —a model only slightly less capable than the latest from Anthropic and OpenAI. In the coming days Moonshot will complete a funding round valuing it at \$31.5bn, according to Bloomberg. It reportedly hopes to list in Hong Kong at a valuation of \$50bn.

That would make it a tiddler compared with American rivals, but its commercial threat does not come from its size. Kimi $\kappa 3$, like [many Chinese models](#), is “open weight”: its parameters are available free of charge and can run on any capable server. On Wednesday, Michael Kratsios, the White House’s head of science policy, alleged that Moonshot had developed $\kappa 3$ by covertly imitating Anthropic’s Fable model. American AI giants had already been pushing for restrictions on the use of Chinese open-weight models. Expect the campaign now to step up a gear.

Volodymyr Zelensky's dilemma



Photograph: Getty Images

For days Volodymyr Zelensky has been trying to work out a solution to a problem that is largely of his own making. On July 15th the Ukrainian president ousted Mykhailo Fedorov, [the innovative 35-year-old defence minister](#), after he clashed with senior generals over strategy. The decision sparked some of the biggest protests of his presidency. In a scramble to appease the demonstrators, on July 21st Mr Zelensky [sacked Oleksandr Syrsky](#), Ukraine's top general, and invited Mr Fedorov back into the fold.

It is not clear what job Mr Zelensky has offered Mr Fedorov—or if he will accept it. The spat has damaged the trust between the two men. Mr Zelensky has replaced General Syrsky with [Mykhailo Drapaty](#), who shares Mr Fedorov's view Ukraine's armed forces should expand the role of drones and other high-tech weaponry. But even if Mr Fedorov returns, big disagreements over what Ukraine should prioritise—whizzy kit or artillery and armour—will probably remain.

SpaceX's next big test



Photograph: AP

SpaceX hopes to pull off the 13th test launch of its gigantic, troublesome Starship rocket on Thursday. It aborted an attempt last week. The reusable rocket, the largest thing ever flown, is vital for SpaceX to achieve its goals of driving down the cost of sending stuff (including the company's own satellites) into orbit and one day taking humans to Mars. NASA is waiting for a modified Starship to ferry humans to the Moon.

It is the first big test of Elon Musk's rocket-and-AI conglomerate since its blockbuster initial public offering in June. After briefly [heading skyward](#), and making Mr Musk a trillionaire on paper, the share price has fallen back to Earth. Mr Musk, unsurprisingly, sounds unfazed. This week he gave [his first extended interview](#) since the listing to *The Economist's* editor-in-chief. He insists that AI and robotics will create an era of "amazing abundance" within a decade and make money irrelevant. That is easy for him to say.

The ECB is under pressure to raise rates again



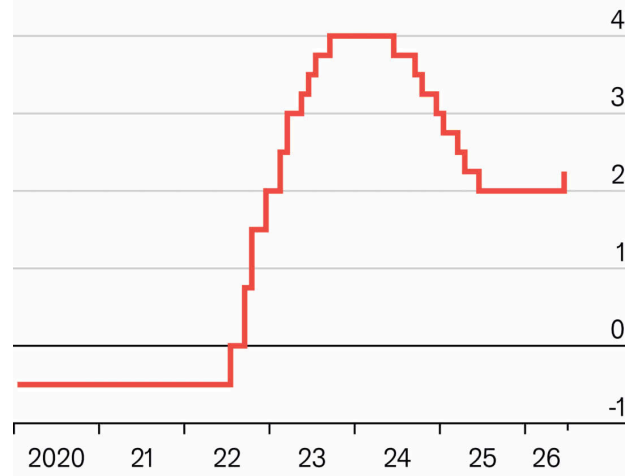
Photograph: Getty Images

For Europe, things were briefly cheerier. Annual euro-zone inflation fell in June, from 3.2% in May to 2.8%. Businesses reported that input costs were rising less, and the truce between Iran and America offered hope that energy prices would stabilise. Then renewed fighting in the Middle East shattered the optimism. On Thursday, the European Central Bank held its main interest rate at 2.25%, but it will probably lift it before long.

The ECB is adamant that its last hike, in June, was necessary to contain the war's impact on inflation. Another may be needed soon. The price of natural gas in Europe has reached €62 (\$71) per megawatt-hour, around double the pre-war price. Meanwhile, the price of Brent crude, the international oil benchmark, is [well above](#) its February level and climbing again. The market does not expect the ECB to raise rates at this meeting, but it has priced in two more 0.25% steps by early next year. For Europe's economic-growth prospects, that spells bad news.

One hump or two?

European central bank, policy interest rate, %



Source: Haver Analytics

Who cares about the Commonwealth Games?



Photograph: Getty Images

The Commonwealth Games—a quadrennial multisport event open to athletes from former constituents of the British empire—almost got stuck in the blocks. Adelaide and Calgary withdrew bids to host the tournament this year, saying it would be too expensive. The Australian state of Victoria was announced as the host in 2022 but pulled out after projected costs ballooned.

Glasgow, which hosted the event 12 years ago, stepped in to run the slimmed-down games, which begin on Thursday. Badminton, cricket, diving, hockey, rugby and table tennis are among the events dropped. Recent tournaments have lacked star power, a trend that is likely to continue in 2026. The new world-record holder for running the mile, Josh Kerr of Scotland, will compete. But Australian sprinting sensation [Gout Gout](#) has snubbed the games in favour of the world under-20s championships, and the country's star swimmer, Kaylee McKeown, is unwell. The event once known as the British Empire Games is in danger of becoming another 20th-century relic.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: What is the common British term for a bed surrounded by bars and designed for a baby or small child?

Wednesday: Which Joe Orton play features the corrupt policeman Inspector Truscott?

*Until we are all free, we are none
of us free.*

Emma Lazarus